immediately makes them reluctant to lend to a project even if it is viable, for fear that the investigative agencies will not buy their rationale for lending. The absence of sound and well-documented loan evaluation and monitoring practices by banks makes such an outcome more likely. So excessive lending to bad projects and too little lending to viable ones can coexist.

THE REGULATOR'S DILEMMA

For the regulator who wants the banking system to clean up so it can start lending again, this creates a variety of objectives, which can be somewhat conflicting. First, we want banks to recognize loan distress and disclose it, not paper over it by ever-greening unviable projects. Loan classification is merely good accounting – it reflects what the true value of the loan might be. It is accompanied by provisioning, which ensures the bank sets aside a buffer to absorb likely losses. If the losses do not materialize, the bank can write back provisioning to profits. If the losses do materialize, the bank does not have to suddenly declare a big loss, it can set the losses against the prudential provisions it has made. Thus the bank balance sheet then represents a true and fair picture of the bank's health, as a bank balance sheet is meant to.

Second, we want them to be realistic about the project's cash generating capacity, and structure lending and repayment to match that.

Third, we want them to continue lending to viable projects, even if they had to be restructured in the past and are NPAs.

The problem is that any forbearance in labelling loans NPAs on restructuring makes it easier to avoid disclosure and indulge in ever-greening. On the other hand, strict disclosure and classification rules could imply a cessation of lending to even viable projects. There are no clean solutions here given the kind of incentives in the system, and